The MCC Tower

Twenty blocks, two pitches, and one thing nobody sells

Ask five people in Washington what makes the Millennium Challenge Corporation work and you get two or three answers. The scorecard. The five-year clock. Maybe “they actually do the economics.” Each answer is right. Each is also a small slice of a model with about twenty moving parts.

An old boss of mine likes to describe MCC as a Jenga tower. I like the image for a reason that is easy to miss. Pull a block from the middle and the tower does not fall that afternoon. What you have removed is slack. The damage shows up later, when something else gets pulled and nothing is left to carry the weight.

So here is my attempt at the full tower: what the blocks are, which ones carry the load, who in Washington cares about which, and what changes when you add a new layer on top for commercial diplomacy and America First economic statecraft. The interactive version, with scores for every block, is linked alongside this note.

The base: what makes MCC different

Six blocks sit at the bottom.

- Selectivity through a published scorecard built on third-party indicators
- Country ownership: partners propose and lead their own compacts
- Growth diagnostics: partners and MCC identify the binding constraints on growth
- A returns hurdle: projects must be expected to raise local incomes by more than they cost
- A hard clock: fixed compact terms, with follow-on money tied to performance
- Independent evaluation, with results published

Most pitches name the first and the fifth, sometimes the fourth. The third rarely shows up, and it is the one I would watch.

Rose and Wiebe (CGD, 2015) describe partner countries using growth diagnostics to find binding constraints, and MCC then screening projects against those constraints with cost-benefit analysis, which they say no other donor does systematically. That pairing is what separates MCC from a donor with a good scorecard and a long shopping list.

Two honest qualifiers. The returns hurdle has not always bound. CGD’s 2015 review found about 9 percent of the portfolio, roughly $800 million, without acceptable projected returns, and some projects approved with no cost-benefit analysis at all. And I would describe selectivity as design intent more than a mechanical rule. The claims you hear about how tightly it has constrained board decisions are shakier than the cheerleaders suggest.

The middle: what makes the base usable

Above the base sit the mechanics that turn a good design into a program an appropriator will fund. MCC is an independent agency with a statutory board. Grants are flexible and untied. Money is released in tranches against conditions. A dedicated local entity and fiscal agent hold the books. The staff is small. Threshold programs give near-miss countries a ramp. Regional compacts, authorized in 2018, can fund corridors and power pools (only one has been signed, per the Atlantic Council). And the 2003 statute has had bipartisan backing across administrations, which CGD rightly calls essential.

That last block is the one under strain. The FY2027 State Department request puts MCC at $609 million, against $830 million for FY2026 and $930 million for FY2025, plus a separate $385 million proposed

cancellation of prior balances. A request is not an appropriation. It is still a signal about how the building above it sees the tower.

One block deserves its own paragraph: the scorecard incentive, the “MCC effect,” where countries reform to qualify. It is real but narrow. Johnson and Zajonc (2006) found candidate countries improved about 25 percent more indicators after MCC began, while calling the evidence not overwhelming. A 2014 study commissioned by USAID’s inspector general found no convincing evidence of a broad effect. Parks and Davis (Brookings, 2019) found it in 45 of 118 candidate countries, 38 percent, and traced it to domestic reformers rather than US pressure. Read together: conditional, not general. It works where someone inside the country already wants to reform and the scorecard gives them cover.

The top: the new layer

On top sits the newest set of blocks, mostly proposals from 2025: diplomatic leverage from the government-to-government compact, a US-return measure beside the economic rate of return, a soft Buy American preference and a national-security waiver, MCC as DFC’s origination and project-preparation arm, and a pivot toward critical minerals and supply chains.

These come from CSIS (Runde, Crespin and Mazzarella) and the Atlantic Council (Hruby), with CGD’s Nancy Lee arguing the other side: link MCC and DFC, but do not merge them, because the two run on different gears.

Notice what several of the additions do to the blocks beneath them. The Atlantic Council would let the board decide eligibility in place of the twenty-indicator scorecard and add a 20 percent procurement bonus for US firms. CSIS would add a national-security waiver and a tiered scorecard. Each one buys leverage by spending selectivity or the returns hurdle. That may be a fair trade in a given case. It is still a trade, and the people proposing it rarely mention that growth diagnostics sits under the same weight. The CSIS piece does not mention constraints analysis at all.

Who prizes what

My scoring, which is judgment and not polling, runs like this. Economists and evaluators prize diagnostics, the returns hurdle, and evaluation. Republicans and conservatives prize the hurdle, the clock, tranching, a lean staff, and the new commercial layer. OMB and the White House care about the clock, the hurdle, and fiduciary controls. State leadership prizes flexible grants, regional compacts, diplomatic leverage, and minerals. Democrats and NGO allies prize selectivity, ownership, evaluation, and the statute. US business wants the infrastructure grants, procurement preferences, and the origination pipeline.

Look at diagnostics across that list. It scores high with one audience and close to zero with the rest. That is the Jenga problem in one line: the block with the narrowest constituency is also the one that decides whether the money goes to the right place.

The view from the other side of the table

One more lens, borrowed from Lant Pritchett’s “The Death of Aid Was Political Suicide.” His argument is that aid narrowed after 1990 into what he calls PATCH, projectized and targeted countering of harms. It was easy to sell and easy to audit, and it “simply does not focus on those with power in recipient countries.” So it bought little influence, and the coalitions that once backed aid eroded. His fix is aid as a partnership on a country’s own development agenda.

I tried to score each block on two questions. How much do the people who matter in the recipient country want it? And how much does it hand the US a gate or condition? Leverage needs both.

The result is uncomfortable. No block scores high on both. What recipients want most is the flexible grant, the big infrastructure compact, the regional corridor, and the ceremony of a bilateral deal. What gives the US a gate is the scorecard, the returns hurdle, the clock, tranching, and fiduciary controls, which are the things recipient elites like least. Leverage lives in the pairing. The prize has to be large and wanted enough that governments accept the gates. Loosen the gates to win favor and you spend the thing that made the prize scarce. (Again, these scores are my judgment, and they will move country by country. A government is not the same as the people who hold power in it.)

What I would do with this

Three rules of thumb for anyone redesigning around MCC.

1. Name the tower before pulling a block. If a reform memo cannot list what it removes, it has not finished the analysis.
2. Protect the quiet bundle: diagnostics, the returns hurdle, and the clock. They are the least visible and the hardest to rebuild.
3. Add leverage with new blocks beside the tower, such as a DFC link or a transaction-support facility, not by loosening the gates inside it.

If you count the blocks differently, I would like to hear where. My list of twenty is a starting point, not a verdict.

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